
POLESTAR
ELECTRIC VEHICLE

OUR RECOMMENDATION

Polestar Automotive — Target Price

RECOMMENDATION
SELL

RECOMMENDATION	SELL
Valuation Date	21/04/2026
Target Price ($)	—
Current Price ($)	18.97
52 Week High	42.60
52 Week Low	11.75
Upside (%)	18.61
MktCap (M$)	1,755
EV (M$)	6,682

WEIGHTED ENTERPRISE VALUE

−$1,034M

Probability-weighted · 3 scenarios

SCENARIO	ENTERPRISE VALUE	PROBABILITY	WEIGHT
COMEBACK	$13,638M	5%	+$682M
GRIND	$11,636M	30%	+$3,491M
FALL	−$8,010M	65%	-$5,207M

CURRENT PRICE VS. 52-WEEK RANGE



MKTCAP 2024
$1,755M
Market capitalisation

EV 2024
$6,682M
Enterprise value

52W RANGE
$11.75 – $42.60
High -55% from peak

UPSIDE TO CURRENT
+18.6%
Current overvalued vs. weighted EV

1

INDUSTRY & COMPETITION



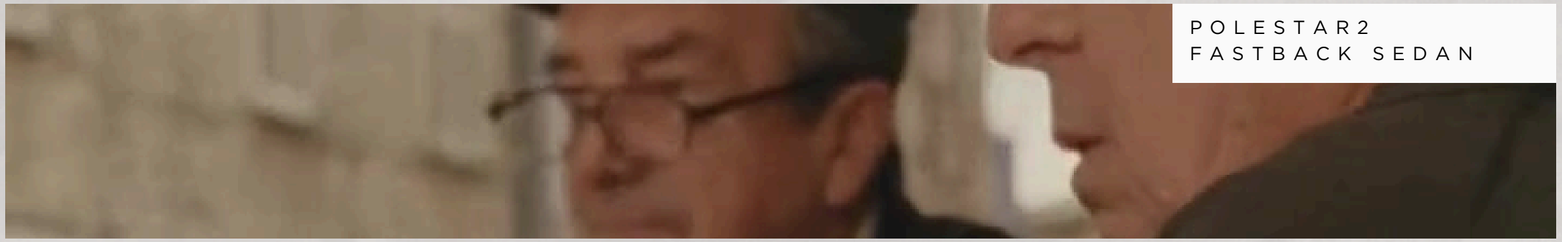
ORIGINS

1996
CREATION

2015
ACQUISITION AND TRANSFORMATION

SINCE 2010
OWNER VIA VOLVO

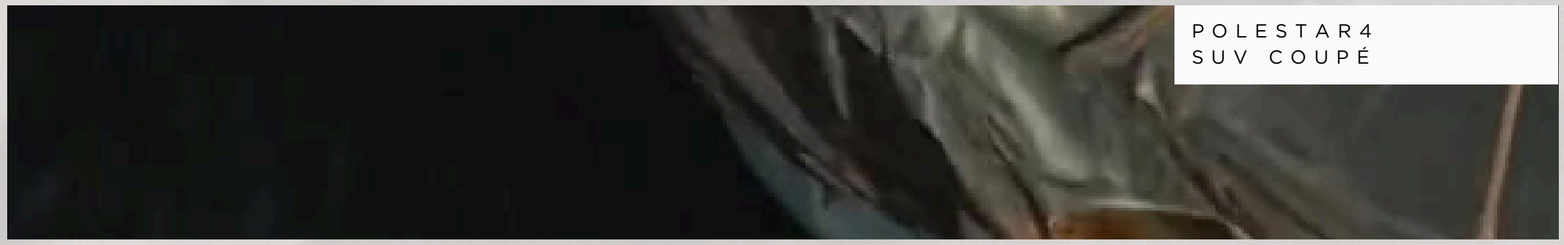
THE ELECTRIC LINEUP



POLESTAR2
FASTBACK SEDAN



POLESTAR3
PERFORMANCE SUV



POLESTAR4
SUV COUPÉ



POLESTAR5
GRAND TOURER



POLESTAR 0: FULLY CLIMATE-NEUTRAL CAR **BY 2030**



CLIMATE NEUTRALITY TARGET **BY 2040**



POLESTAR MARKET EXPANSION



ASSET-LIGHT STRATEGY LEVERAGING **VOLVO/GEELY MANUFACTURING**

A BOOMING MARKET

- GLOBAL EV SALES EXCEEDED **20 MILLION** VEHICLES IN 2025
- REPRESENTING MORE THAN **25% OF NEW CAR SALES WORLDWIDE**



TESLA
MODEL Y



BYD
SONG PLUS

KEY COMPETITORS

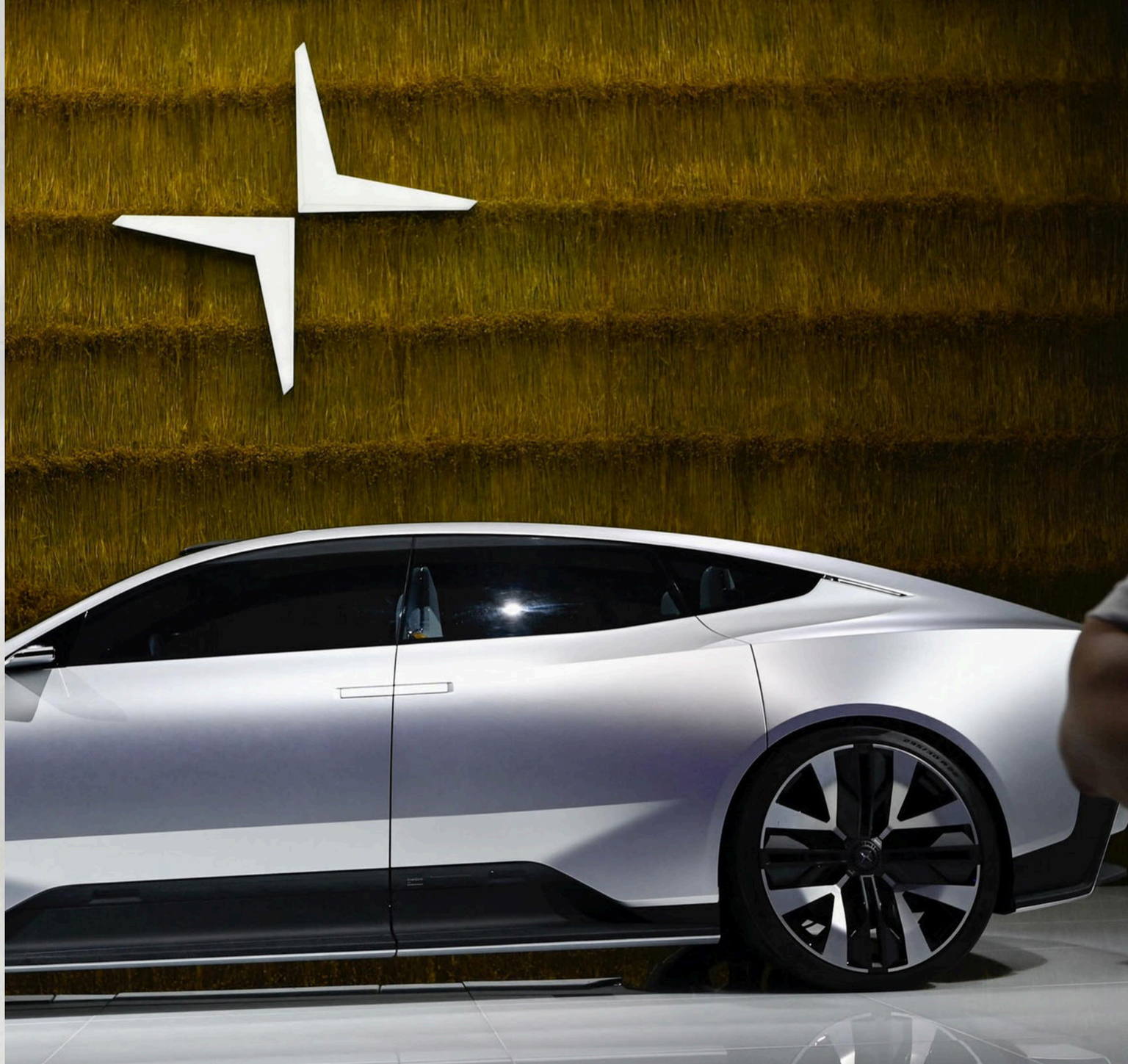
AMERICAN BRANDS
(PRIMARILY TESLA)

CHINESE BRANDS
(PRIMARILY BYD)

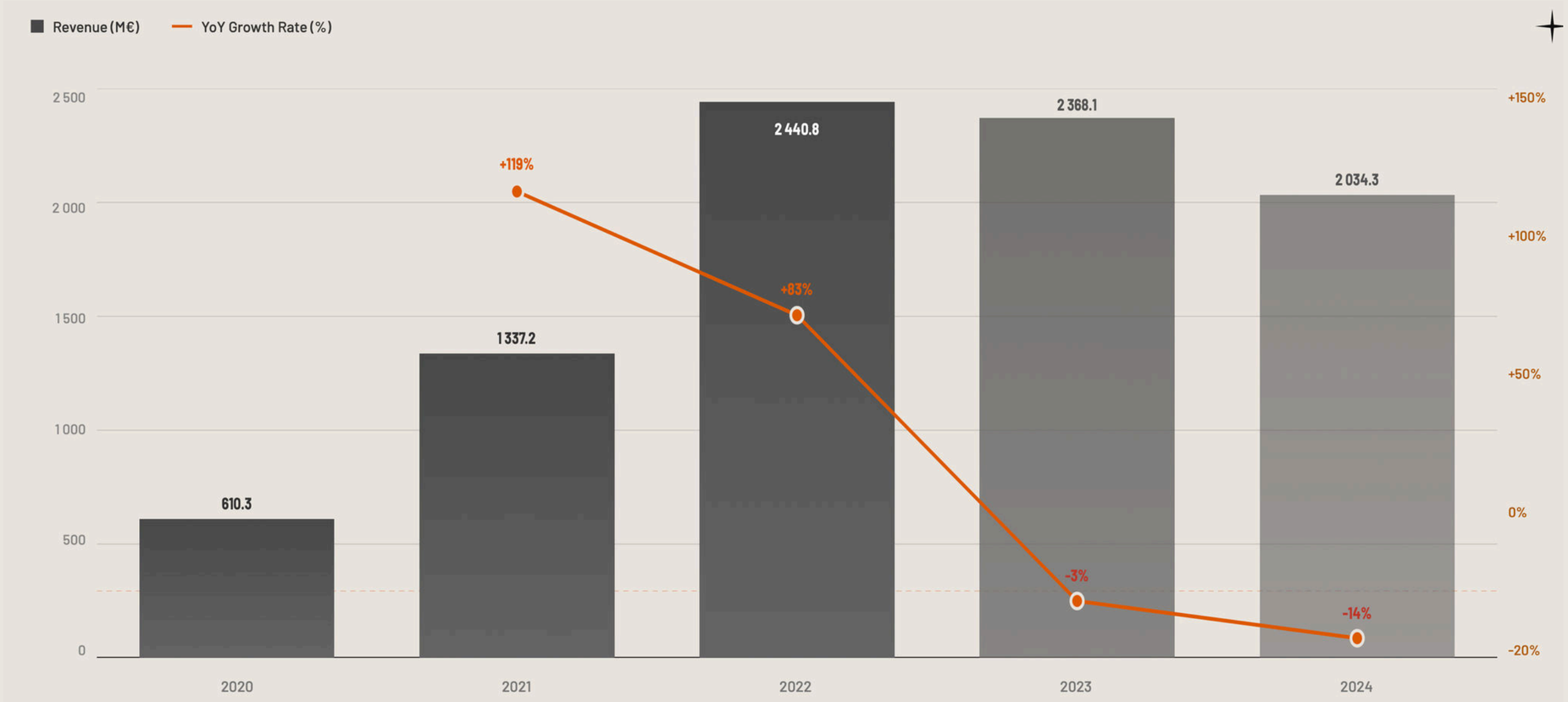
EUROPEAN BRANDS
(PORSCHE, MERCEDES, RENAULT...)

2

THE 3 KEY DRIVERS: REVENUE GROWTH



INDICATORS OF GROWTH



PEAK REVENUE

2 441M€

Highest revenue year · 2022

REVENUE 2024

2 034M€

-16.6% vs peak 2022

AVG. GROWTH 21-22

+101%

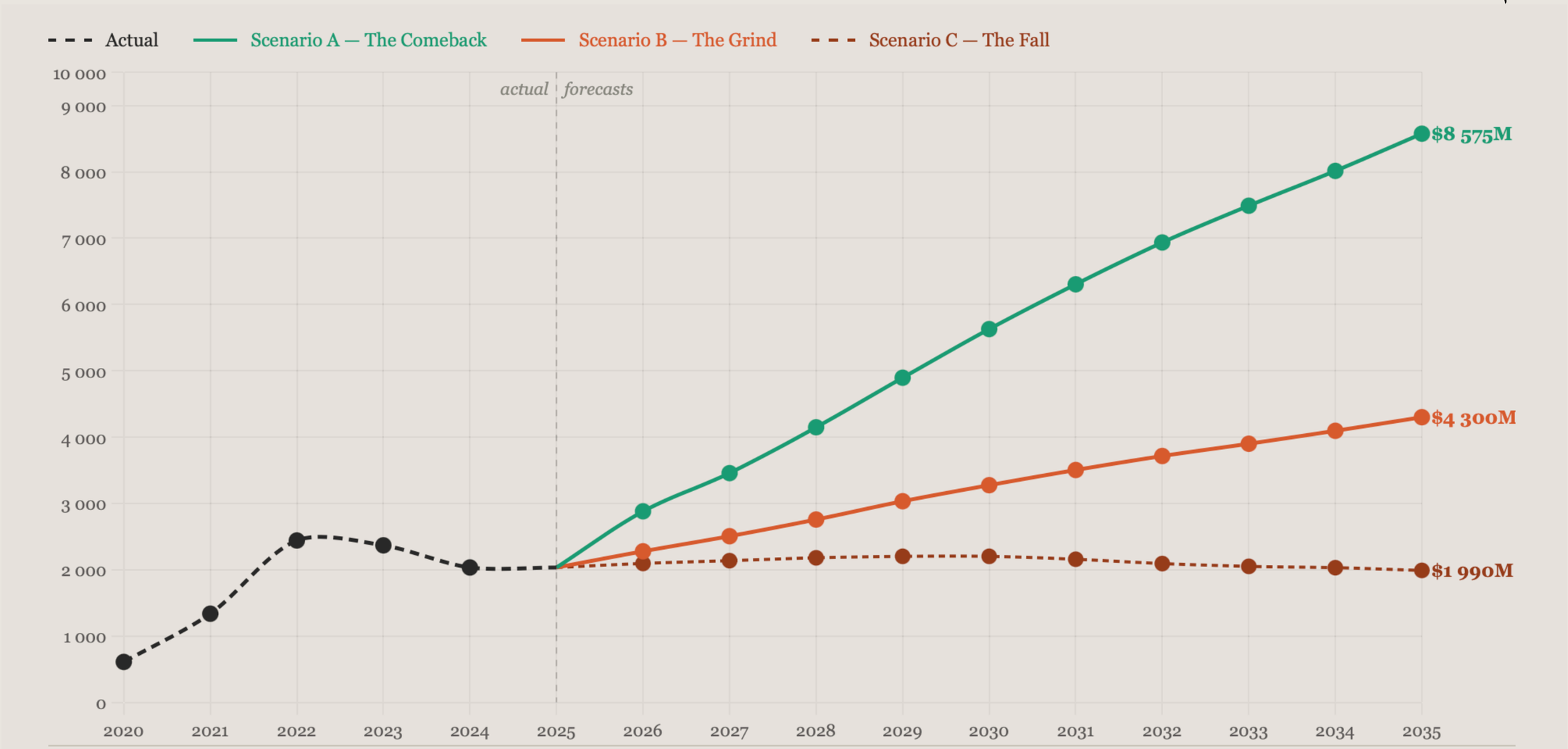
Strong scaling phase

GROWTH 2023-2024

-14%

Revenue contraction · reversal

REVENUE GROWTH



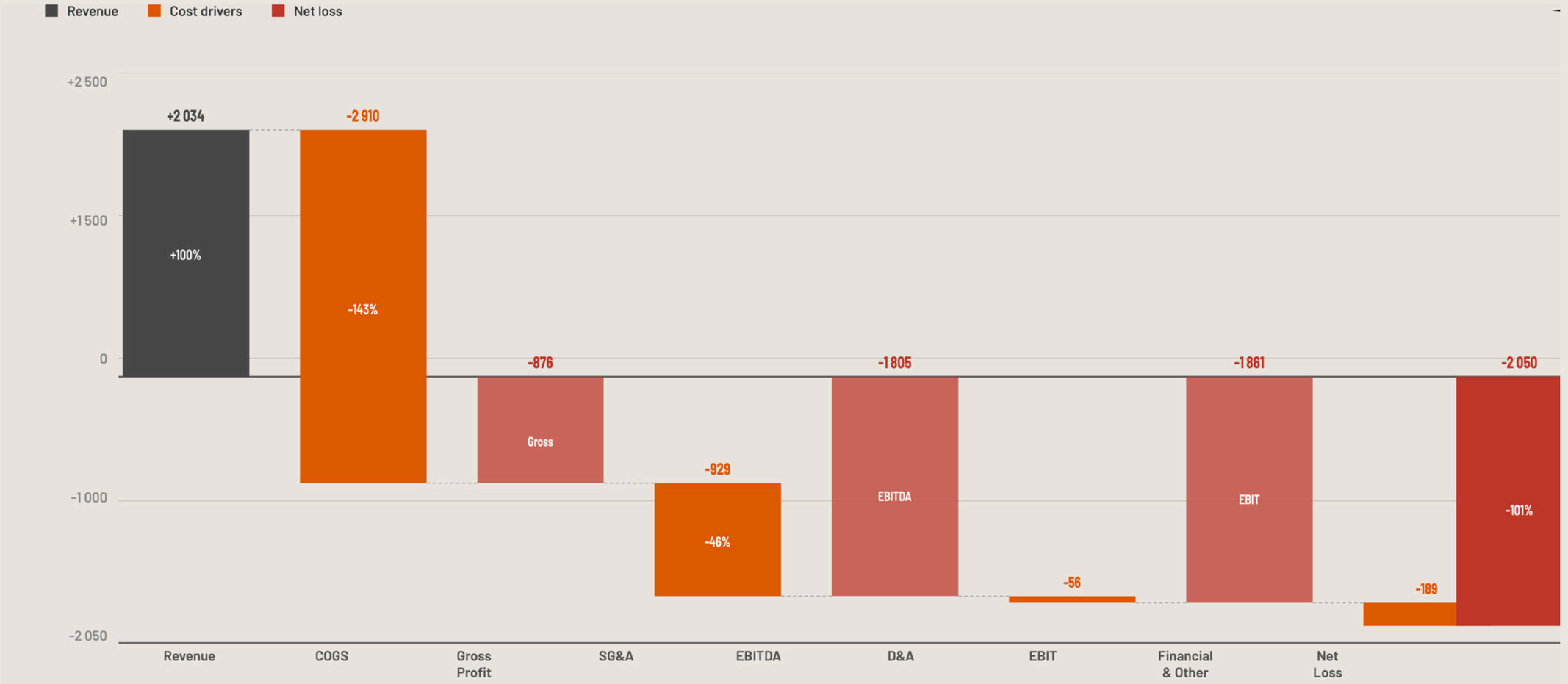
REVENUE 2024 · ACTUAL	SCENARIO A · 2035	SCENARIO B · 2035	SCENARIO C · 2035
$2 034M	**$8 575M**	**$4 300M**	**$1 990M**
Starting point for all scenarios	×4.2 vs 2024 · The Comeback	×2.1 vs 2024 · The Grind	×0.98 vs 2024 · The Fall

3

THE 3 KEY DRIVERS: COST OF GOODS SOLD



WHY IS PROFIT NEGATIVE?



REVENUE 2024

2 034M€

= 100% base

COGS 2024

-2 910M€

143% of revenue · #1 driver

SG&A 2024

-929M€

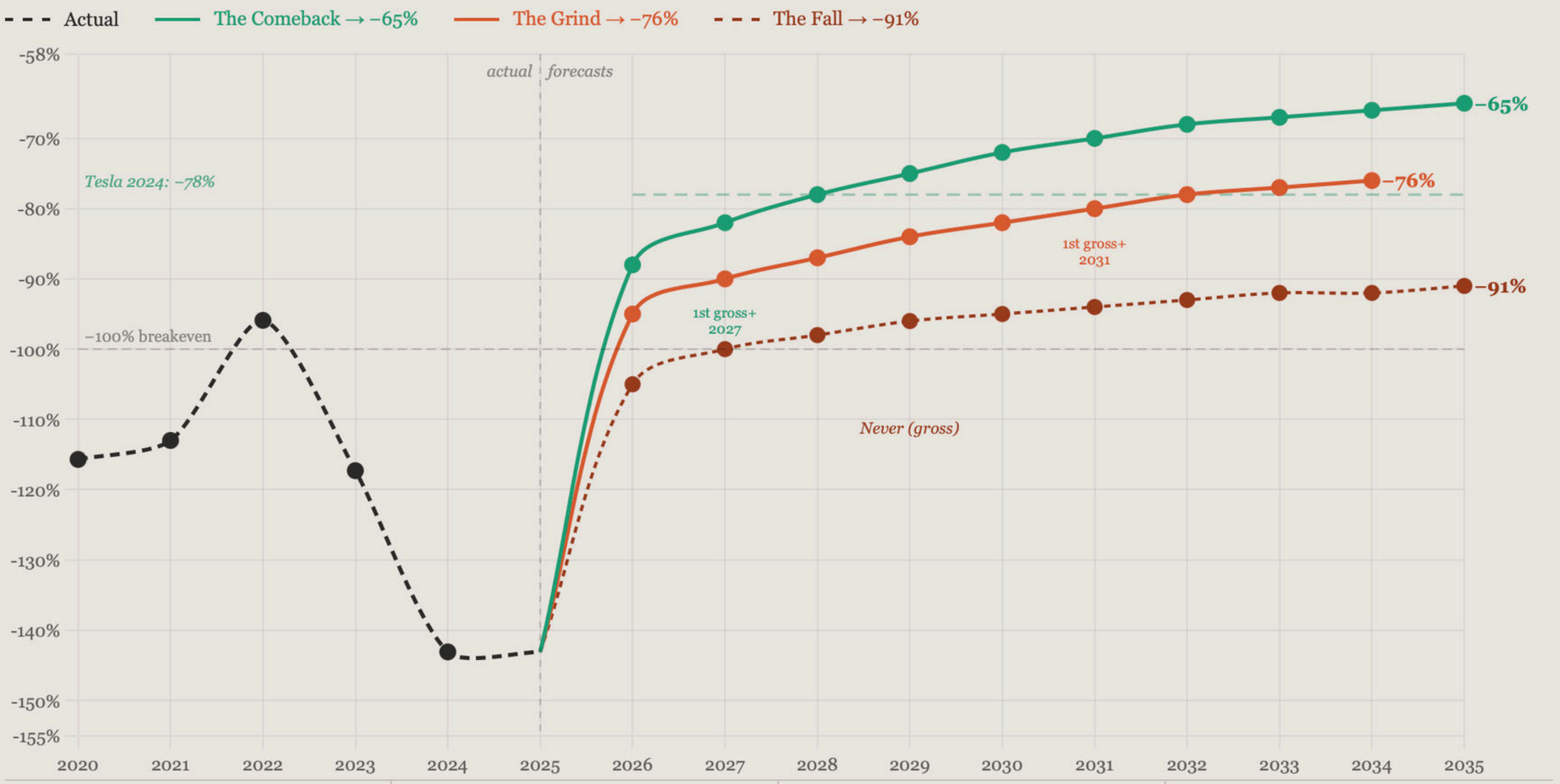
46% of revenue · #2 driver

NET LOSS 2024

-2 050M€

-101% net margin

COGS / REVENUE



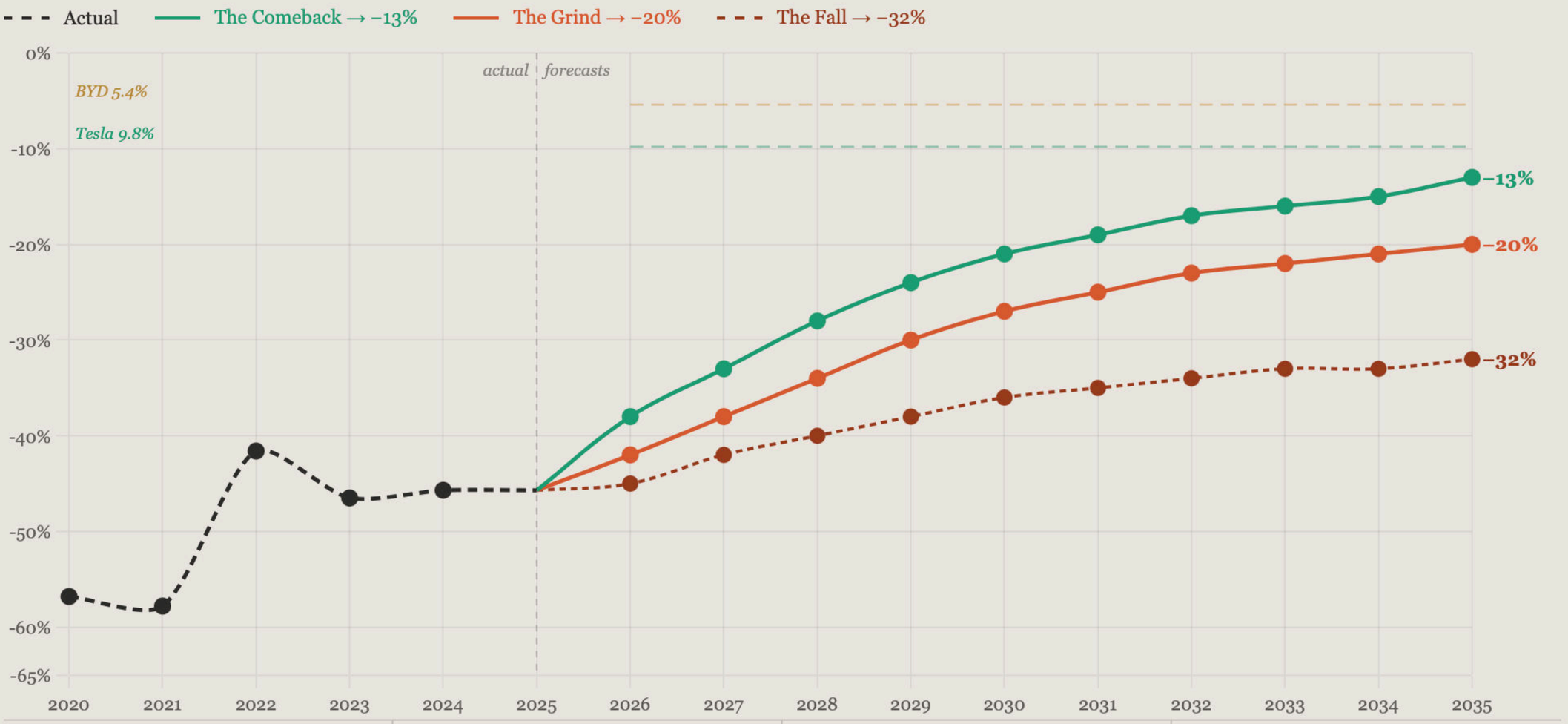
COGS 2025 · COMEBACK	COGS 2025 · GRIND	COGS 2025 · FALL	TERMINAL TARGET · TESLA
−95%	**−100%**	**−110%**	**−78%**
Geely scale economies	Slow improvement	No scale effect	2024 benchmark

3

THE 3 KEY DRIVERS: S&GA



S&GA / REVENUE



S&GA 2024 · ACTUAL

−46%

$929M fixed · 45K cars

S&GA 2035 · COMEBACK

−13%

Revenue ×4 → strong leverage

S&GA 2035 · GRIND

−20%

Revenue ×2.2 → moderate

S&GA 2035 · FALL

−32%

No leverage · fixed drag

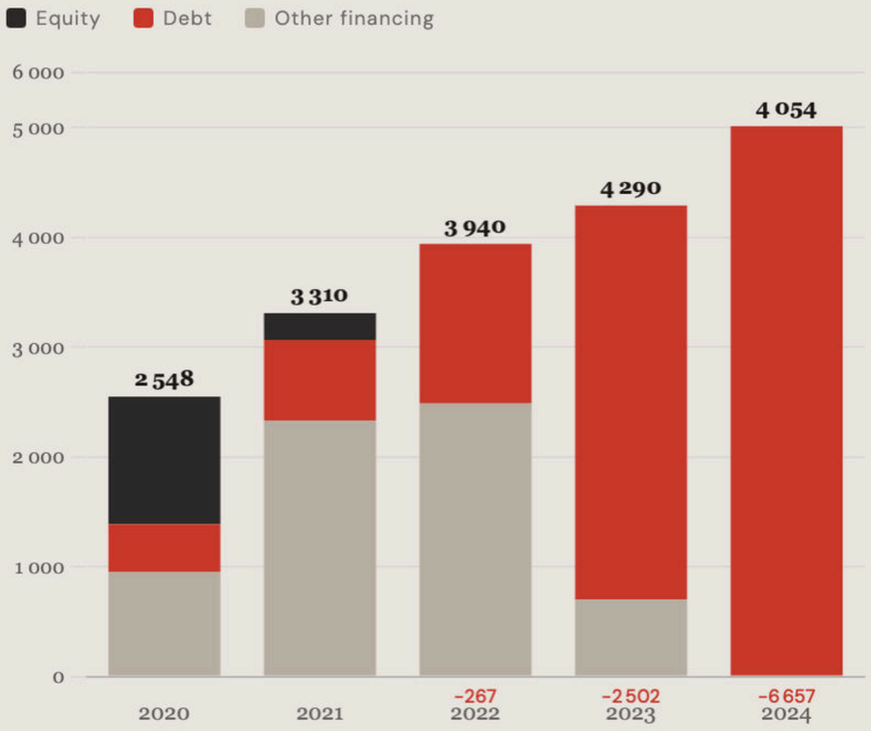
4

CAPITAL STRUCTURE & FINANCIAL LEVERAGE



CAPITAL STRUCTURE

SOURCES OF CAPITAL



TOTAL DEBT 2024

$5,012M

Primary financing source

EQUITY 2024

−$3,329M

Fully eroded by losses

TOTAL DEBT 2024

$5,012M

×11.5X SINCE 2020

From **$437M** in 2020 · financing losses with debt

EQUITY 2024

−$3,329M

SHAREHOLDER CAPITAL FULLY WIPED OUT

Accumulated losses **eroded all equity**

DEBT / ASSETS

123%

LIABILITIES EXCEED ASSETS

Technically insolvent · **not a growth balance sheet**

CASH RUNWAY

6.5mo

$739M CASH · MUST RAISE BEFORE MID-2026

Every scenario requires **continued external financing**

INTEREST CHARGES 2024

$367M

ON TOP OF A GROSS LOSS

Even a 2027 recovery **goes straight to creditors**

WORST CASE TRIGGER

If funding stops

FALL SCENARIO — INEVITABLE

Regardless of **any operational progress**

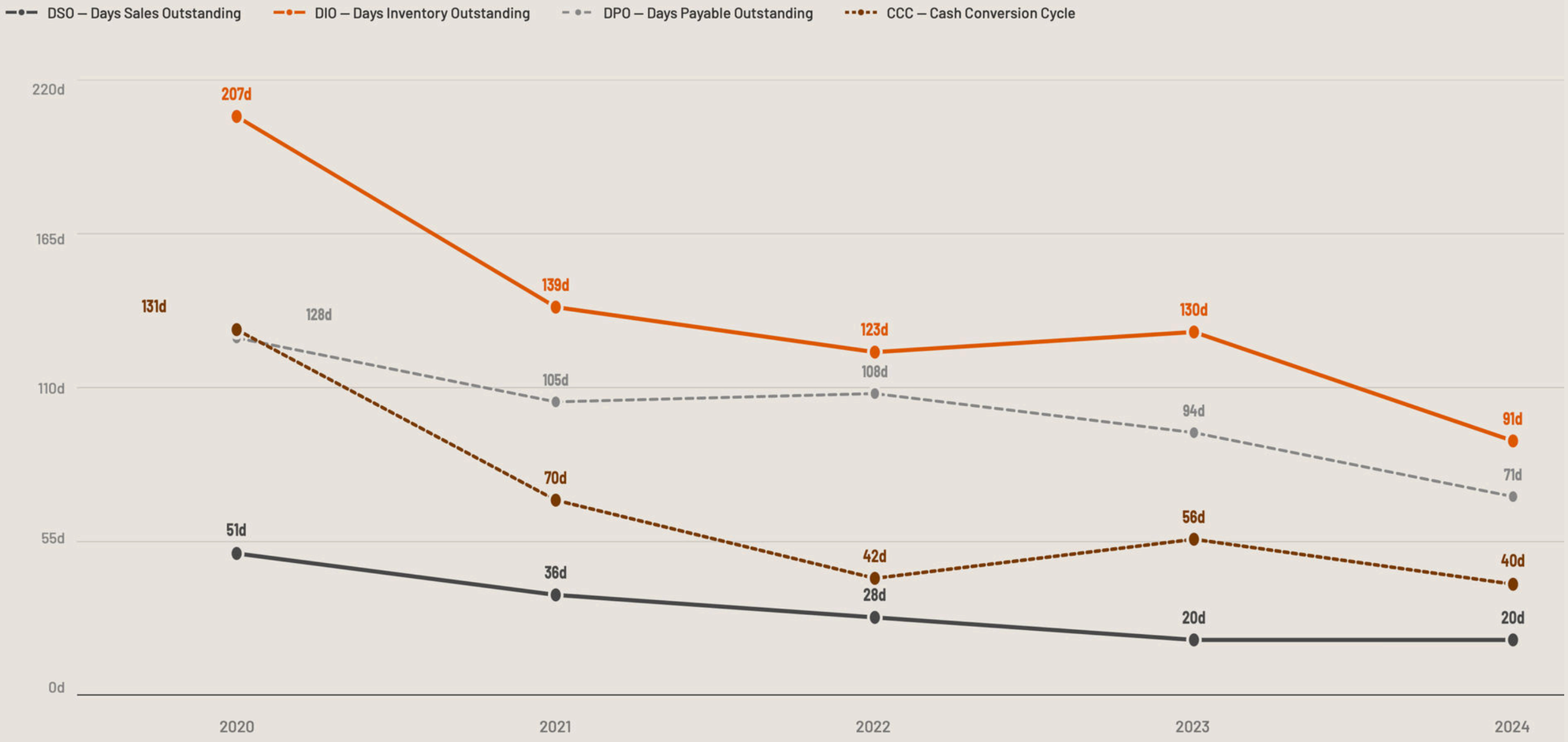


5

WORKING CAPITAL & OPERATING EFFICIENCY



CASH CONVERSION CYCLE



CCC 2024

40d

Best level · improving trend

CCC 2020

131d

Peak cash tied up in cycle

DIO 2024

91d

Main driver · down from 207d

DSO 2024

20d

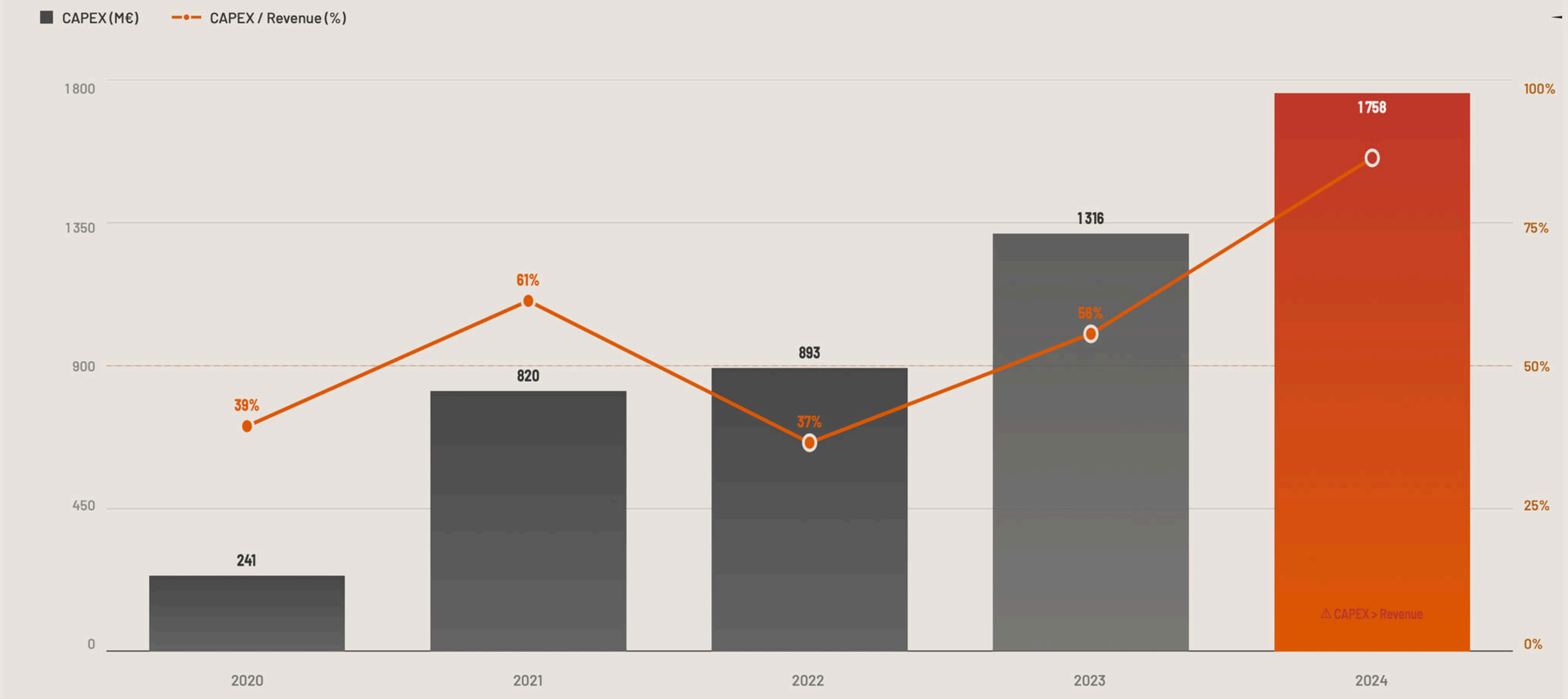
Stable · fast collections

6

CAPEX



CAPEX



CAPEX 2024

1 758M€

Highest ever · +34% vs 2023

CAPEX / REVENUE 2024

86%

CAPEX nearly equals revenue

CAPEX / REVENUE 2022

37%

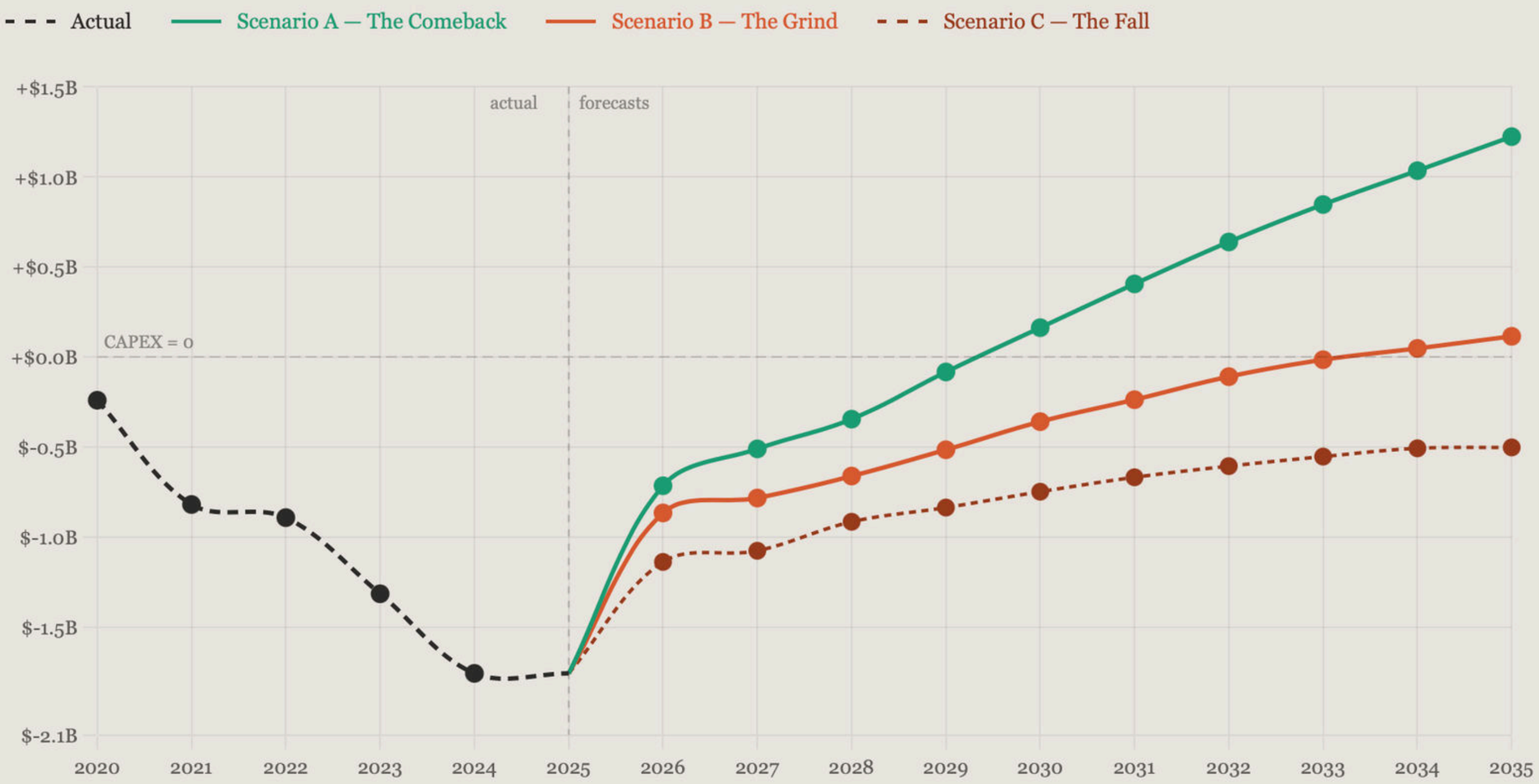
Most efficient year

CAPEX GROWTH 20→24

+630%

Massive investment ramp

PROJECTED CAPEX



CAPEX 2024 · ACTUAL
-$1.76B
point de départ

SCENARIO A · 2035
+$1.22B
retour sur invest.

SCENARIO B · 2035
+$0.11B
quasi nul

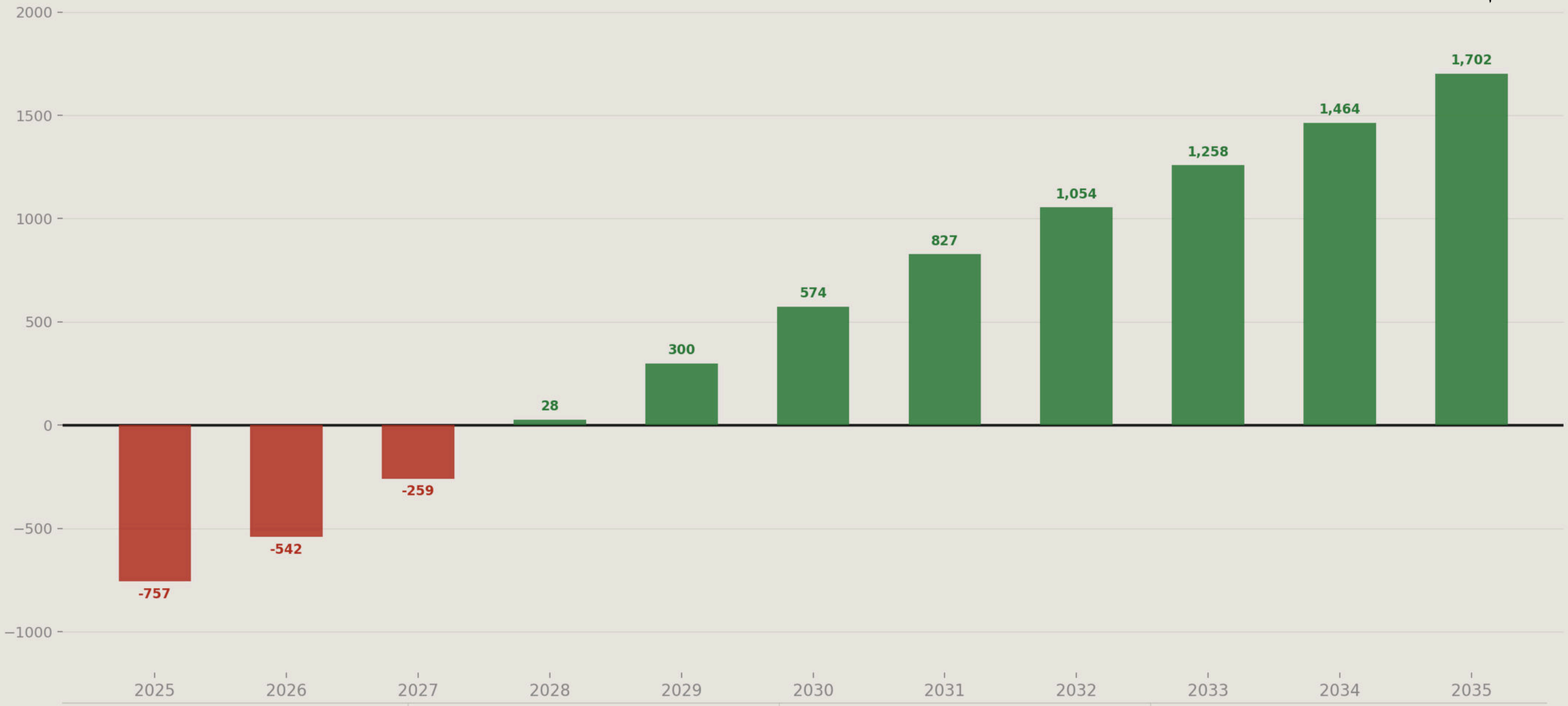
SCENARIO C · 2035
-$0.50B
dépenses persistantes

7

THE COMEBACK: BEST CASE RESULTS



THE COMEBACK



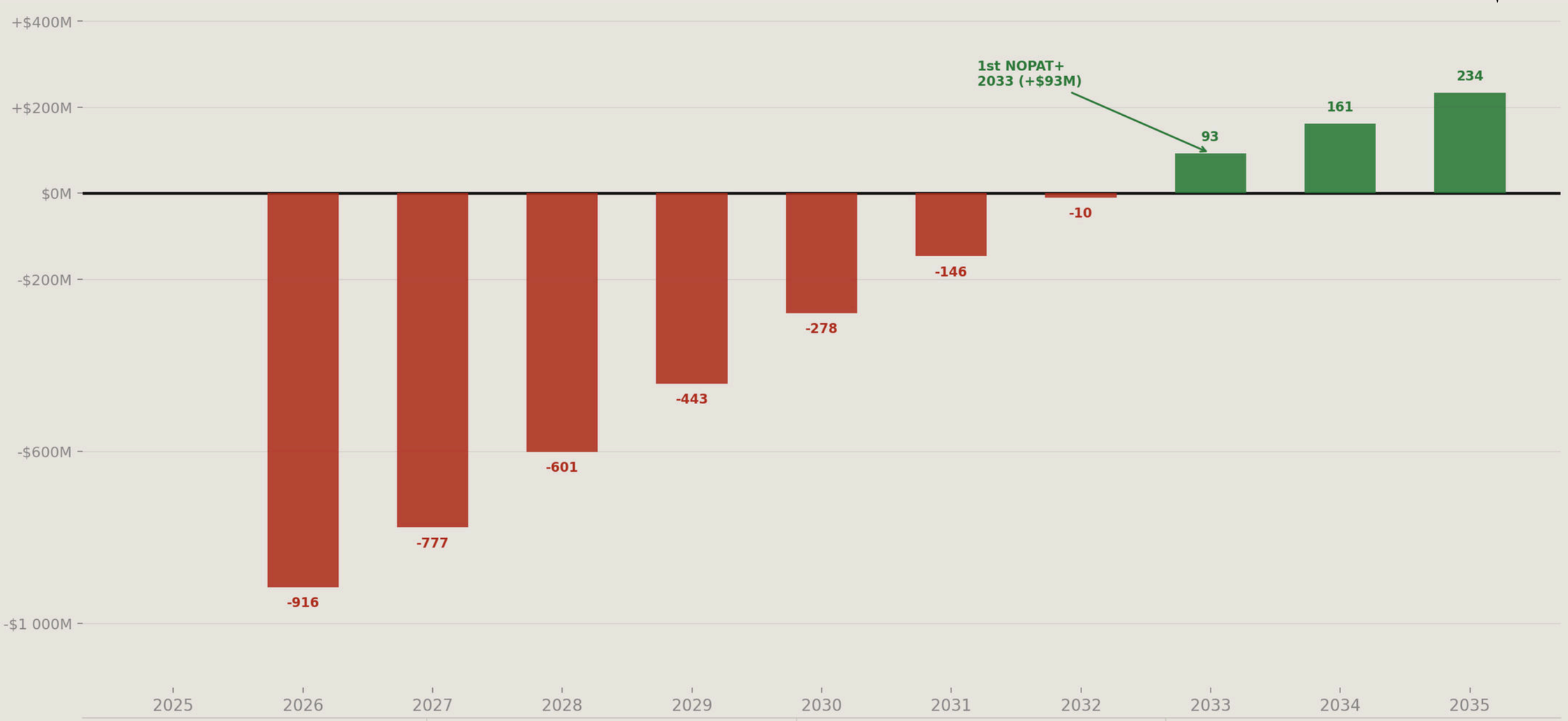
NOPAT TURNS +	EXPLICIT PERIOD	CONTINUING VALUE	VALUE OF OPERATING ASSETS
2028	**+$3.3B**	**+$16.5B**	**+$25.6B**
$27.6M — first profit	2025-2035	Post-2035	Total VOA

8

THE GRIND: BASE CASE RESULTS



THE GRIND



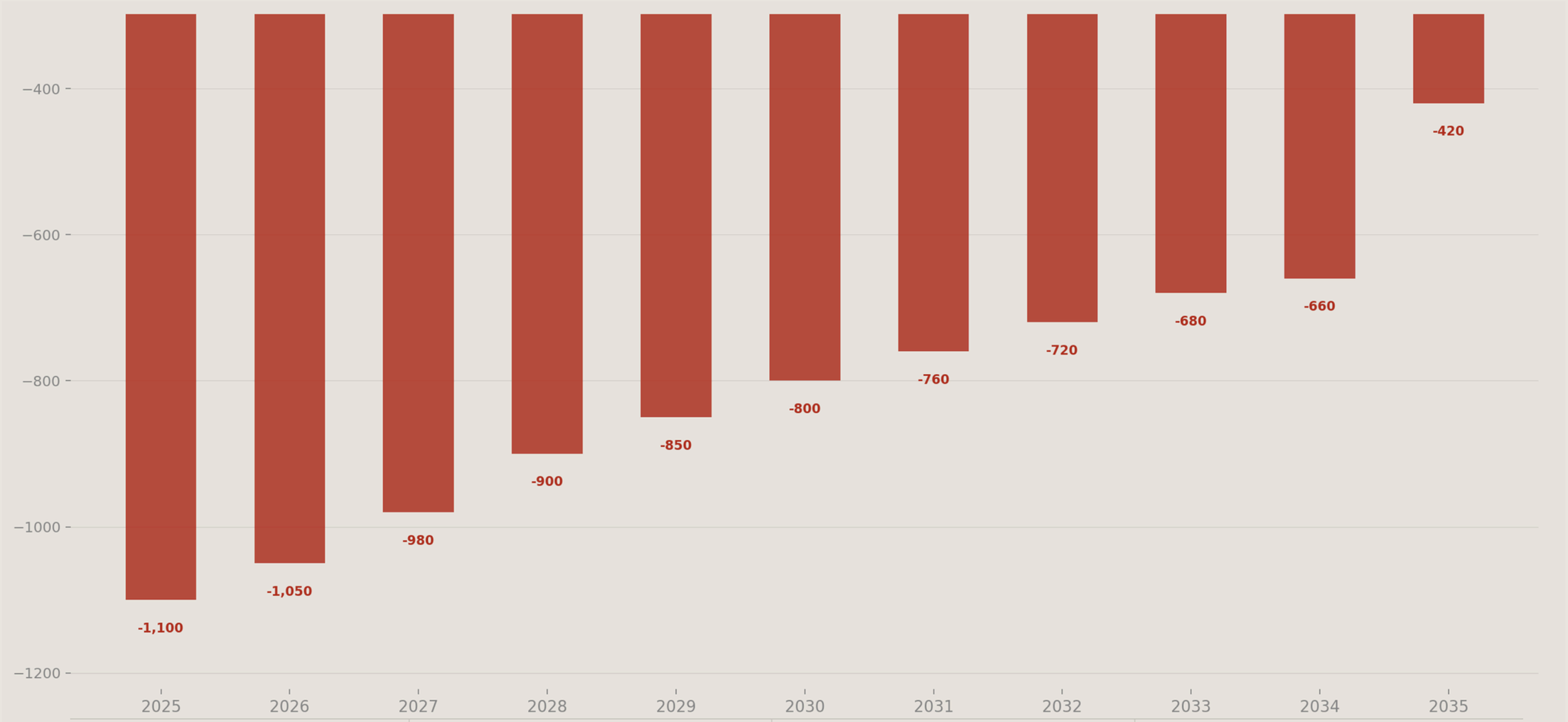
NOPAT TURNS +	EXT. FINANCING NEEDED	CONTINUING VALUE	VALUE OF OPERATING ASSETS
2033	**~$7B**	**≈ $0**	**−$9.8B**
$93M — four years after Comeback	2025–2033 cumulative	No steady state reached	Value destruction

9

THE FALL: WORST CASE RESULTS



THE FALL



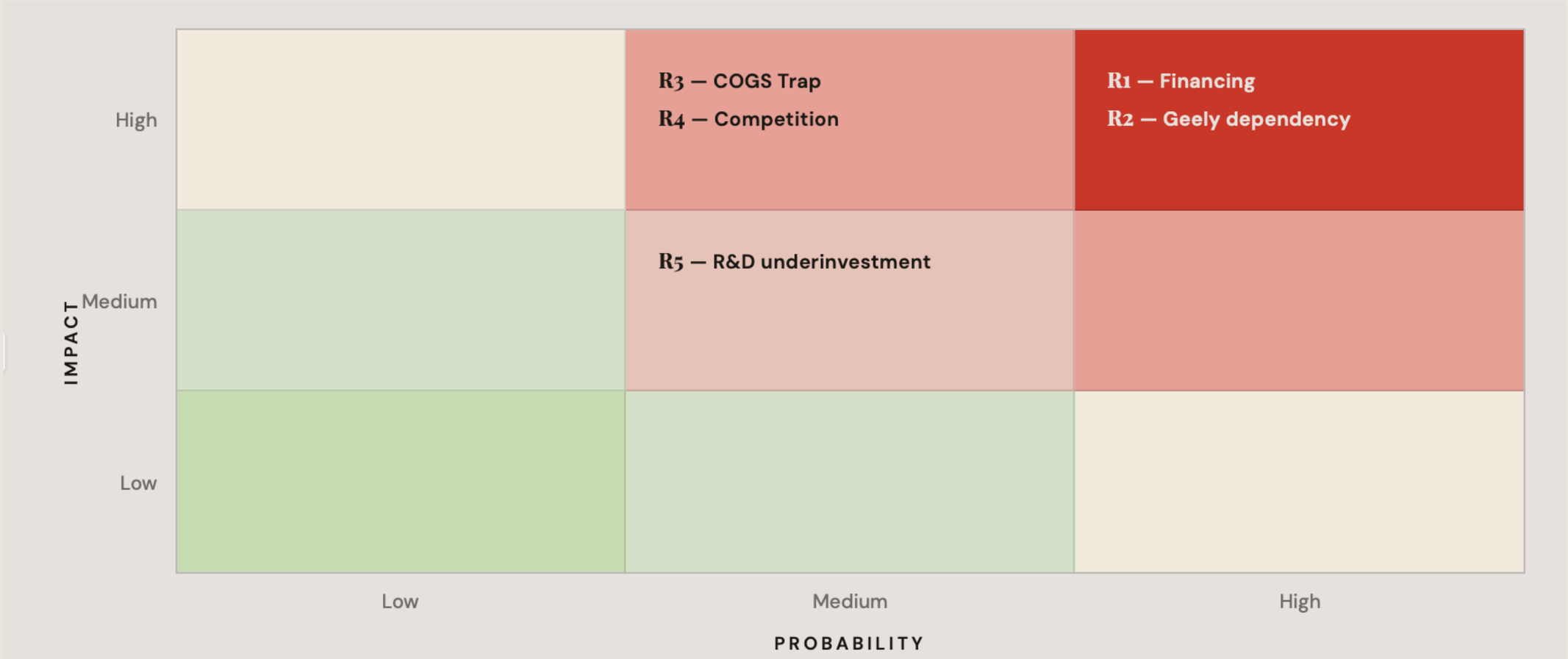
NOPAT	FCF	CONTINUING VALUE	VALUE OF OPERATING ASSETS
Never +	**$-1.5B to -3.5B/yr**	**−$7.0B**	**−$21.5B**
Perfect vicious circle	Cash out May 2025	Terminal NOPAT < 0	Gap vs Comeback: $47B

9

RISKS ANALYSIS



RISKS



R1
FINANCING
$739M cash · 6.5mo runway · must raise before mid-2026

R2
GEELY DEPENDENCY
93% short-term liabilities intra-group · structural risk

R3
COGS TRAP
143% of revenue · 3 levers must succeed simultaneously

R4
COMPETITION
BYD, NIO, XPeng squeezing margins · market share loss

R5
R&D
Cut to 1.9% of revenue · long-term competitiveness at risk

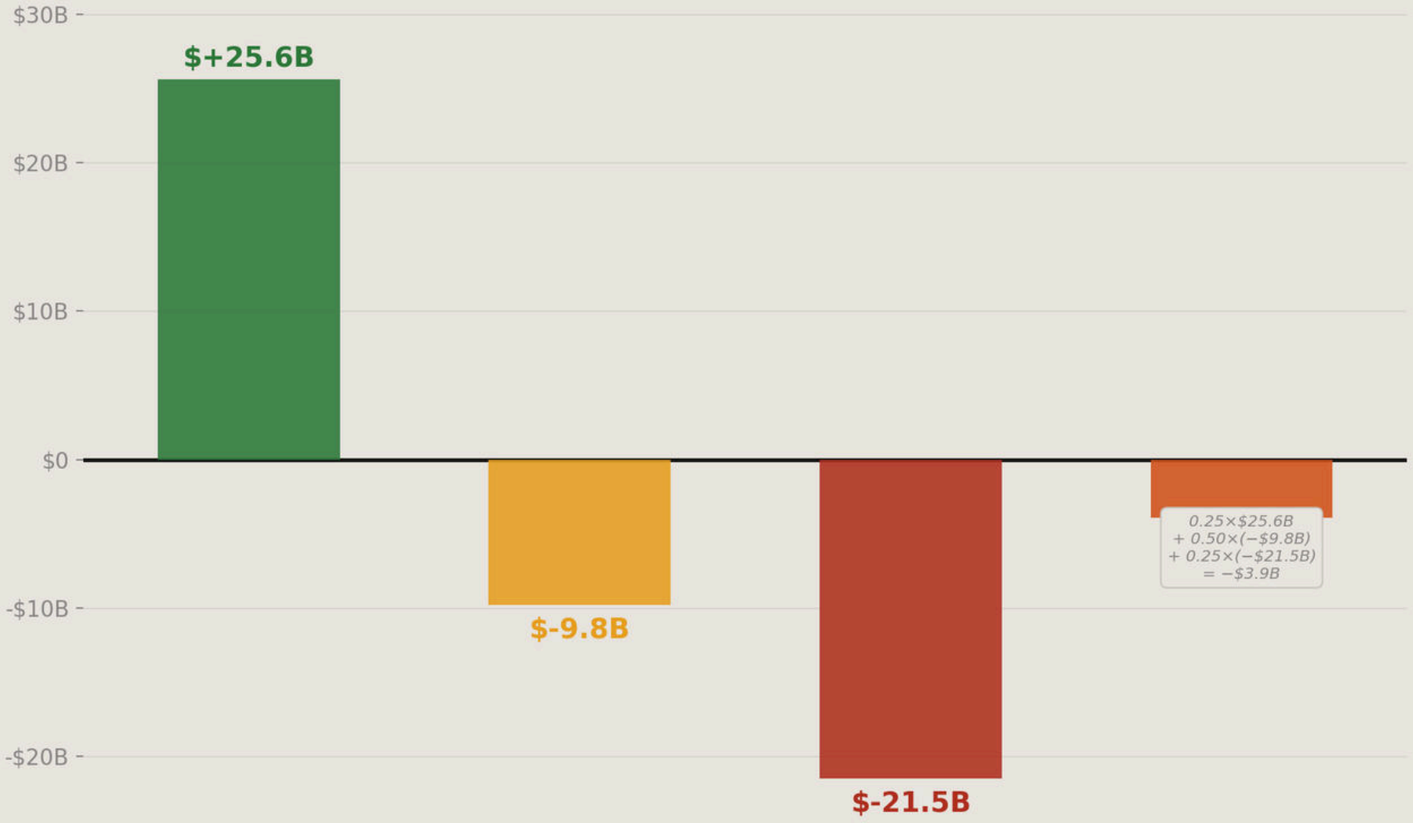
10

CONCLUSION



THE VERDICT

A RACE AGAINST THE CLOCK



2027

YEAR OF TRUTH

$1.5B

MARKET CAP

vs −$3.9B

prob-weighted VOA

→ PRICED AS REAL OPTION

COMEBACK VOA	GRIND VOA	FALL VOA	PROBABILITY-WEIGHTED
+$25.6B	**−$9.8B**	**−$21.5B**	**−$3.9B**
Tesla path · COGS 65%	Survival · Geely M&A	Fisker path · controlled sale	25% / 50% / 25%